Artea bankas

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: Moody's (2026-04-21): long-term deposits upgraded to A3, senior unsecured Baa1 affirmed, outlook changed from stable to positive[1]
Next report: 9M 2026 interim report - 2026-10-28

Position OK, but profit is falling. 1H profit EUR 23.2m versus 31.9m a year ago; ROE 7.8%[2]. Capital (21.5%) and liquidity (LCR 179%) have headroom, and Moody's upgraded the rating in April 2026[3].

Net profit (6M2026)	ROE (6M2026)	Total capital ratio (6M2026)	LCR (6M2026)
23.2 EUR m	**7.8%**	**21.5%**	**179%**
▼ 27.3 % vs 6M2025	▼ 3.3 p. p. vs 6M2025	▲ 0.35 p. p. vs FY2025	▼ 29 p. p. vs FY2025

Quick summary

- **Lower profit:** 1H net profit EUR 23.2m (31.9m a year ago), ROE 7.8% (11.1%). Net interest income rose 6% to EUR 72.5m, but costs grew faster: cost/income 56.8%[3].
- **Good loan quality:** cost of risk 0.01% (0.24%), stage 3 loans 2.4% (calculated by the tool)[4].
- **Rating upgraded:** on 2026-04-21 Moody's raised the deposit rating to A3; senior unsecured debt Baa1, outlook positive[1].
- **Shareholders and management changing:** Tesonet Global plans to raise its stake to 31.68% and seek control (ECB approval, by Q1 2027); Tomas Varenbergas appointed acting CEO[5].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
XS2922133363	Artea bankas 8.75% AT1	8.75%	perpetual	Additional Tier 1 (perpetual); issuer table shows end date 2029-10-17
XS2887816564	Artea bankas 4.85% senior preferred 2028	4.853%	2028-12-05	Senior preferred
XS3025213102	Artea bankas 4.60% senior preferred 2030	4.597%	2030-06-25	Senior preferred
LT0000407751	Artea bankas 10.75% subordinated 2033	10.75%	2033-06-22	Subordinated
XS3191554495	Artea bankas 3.74% senior preferred 2029	3.739%	2029-07-10	Senior preferred

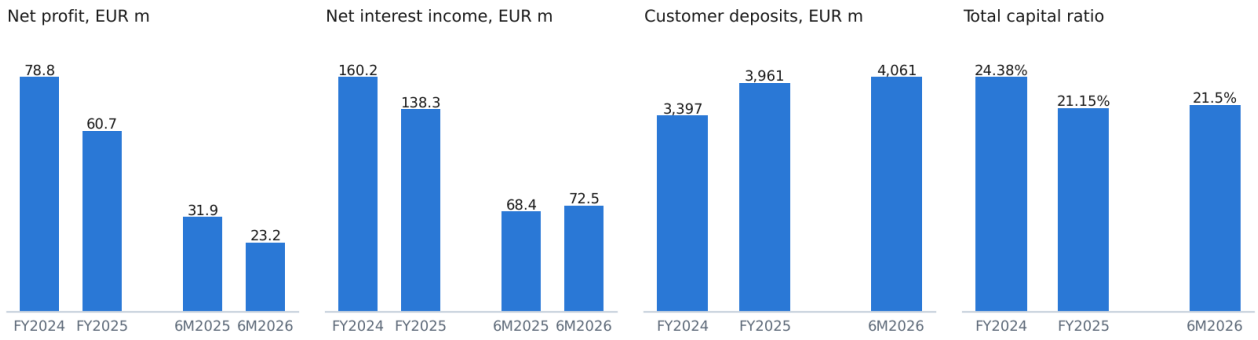
Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Net profit, EUR m[6,7,8]	78.8*	60.7*	31.9*	23.2*	▼ 27.3 % vs 6M2025
Net interest income, EUR m[6,7,8]	160.2*	138.3*	68.4*	72.5*	▲ 6.0 % vs 6M2025
Total operating income, EUR m[6,8]	203.0*	189.8*	95.8*	94.0*	▼ 1.9 % vs 6M2025
Cost/income ratio[9,2]	47.1%*	58.8%*	55.2%*	**56.8%***	▲ 1.6 p. p. vs 6M2025
ROE[9,7,2]	14.0%*	10.4%*	11.1%*	**7.8%***	▼ 3.3 p. p. vs 6M2025
Cost of risk[7,2]	0.35%*	0.13%*	0.24%*	0.01%*	▼ 0.23 p. p. vs 6M2025
Net interest margin[9,1]	3.7%*	2.6%*	2.9%*	2.4%*	▼ 0.5 p. p. vs 6M2025
Loans to customers, EUR m[10,11]	–	3,763*	–	4,012*	▲ 6.6 % vs FY2025

Metric	FY2024	FY2025	6M2025	6M2026	Change
Customer deposits, EUR m[12,13]	3,397*	3,961*	–	4,061*	▲ 2.5 % vs FY2025
Total capital ratio[9,2]	24.38%*	21.15%*	–	**21.5%***	▲ 0.35 p. p. vs FY2025
MREL (% of TREA)[14,1]	–	22.73%*	–	23.59%*	▲ 0.86 p. p. vs FY2025
LCR[7,2]	–	208%*	–	**179%***	▼ 29 p. p. vs FY2025
NPL ratio[10,11]	–	2.79%ᶜ	–	**2.42%ᶜ**	▼ 0.37 p. p. vs FY2025
Dividend per share, EUR[15]	0.061*	0.047*	–	–	▼ 23.0 % vs FY2024

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- Loans grew 8% year on year to over EUR 3.9bn; deposits EUR 4,061m (+15%)[16].
- Net interest margin 2.4% (2.9% a year ago), falling with lower interest rates[1].
- The core banking system replacement is under way; in 2025 the bank rebranded as Artea[17].

Financials

- **FY2025 net profit EUR 60.7m (2024:** 78.8m), ROE 10.4% (14.0%); net interest income EUR 138.3m (−14%)[18].
- Total capital ratio 21.5% (YE2025 21.15%), MREL 23.59% of TREA, LCR 179%[3].
- Dividend for 2025 EUR 0.047 per share (EUR 30.4m), for 2024 EUR 0.061; a share buyback (EUR 2.6m) was completed in January 2026[19].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Strategy 2026-2028: become the best bank in Lithuania by 2029; long-term ROE >17%, total shareholder return >20%	6M 2026 ROE 7.8%[20,21,2]	Still far from the target: the margin is falling and costs are up (core system change, rebranding)[3,7].	**In progress**
Dividends at least 50% of prior-year profit; for 2025 up to 70% proposed (50% dividends, up to 20% buybacks)	52.2% of 2025 profit paid as dividends[22,17,15]	Met[15].	**Met**
2026: about 15% corporate loan portfolio growth	Total loans +8% year on year (1H)[23,2]	In progress; corporate loan growth is not shown separately[2].	**In progress**

Investor information & conclusions

- **Instruments held:** three EUR 300m senior preferred bonds, 4.85% due 2028-12-05, 3.74% due 2029-07-10 and 4.60% due 2030-06-25; a 10.75% subordinated bond due 2033 (EUR 50m); and an

8.75% AT1 (EUR 50m, date in the issuer table 2029-10-17)[22].

- **Rating:** senior debt Baa1 with a positive outlook, which is good news for all bonds held[1].
- **For subordinated bonds and AT1:** total capital of 21.5% and MREL of 23.59% have headroom; no new bonds were issued in 1H 2026[24].
- **Change of control:** if Tesonet gains control (ECB approval needed), the strategic owner changes; change-of-control terms of the bonds were not found in public sources[25].
- **Conclusion:** profitability is declining, but capital, liquidity and loan quality are good and the rating has improved. 9M results are due on 2026-10-28.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- The bank is not active in excluded sectors.
- A responsible investment regulation is published[26].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found.
- No sanctions were imposed on the bank or group companies in 2025 or Q2 2026[27,28].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)

- No adverse news found (search in Lithuanian and English, 2026-10-22).
- Most news is about Tesonet's share purchases and management changes.

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company’s Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Expanding sustainable financing is a 2026 priority[23]
- The planned Artea Retrofit Fund 3 (EUR 625m) for building renovation[20].

☑ Yes, the activities of the company or it’s strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Committed, together with the EU, to climate neutrality by 2050 in line with the Paris Agreement[26].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- No yellow flags found.

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[29].

Met

- AML procedures, whistleblowing channel, supplier code of conduct, responsible investment regulation[26]
- No sanctions imposed on the bank[28].

Could be improved

- Financed emissions and interim climate targets not found publicly.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: capital and loan quality are good and ESG practice is in order.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Women make up 77.8% of group staff[30]
- Climate neutrality target for 2050[26]
- Included in the Bloomberg ESG Data and ESG Coverage indices[15].

Additional comments:

Conclusion: No exclusions or red flags. Core ESG procedures are in place; little climate data is disclosed.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Artea bankas - Interim report 6M 2026 (reviewed), p. 7, 2026-08-26
2. Artea bankas - Interim report 6M 2026 (reviewed), p. 6, 2026-08-26
3. Artea bankas - Interim report 6M 2026 (reviewed), p. 6-7, 2026-08-26
4. Artea bankas - Interim report 6M 2026 (reviewed), p. 6, 24, 2026-08-26
5. Artea bankas - Interim report 6M 2026 (reviewed), p. 6-8, 2026-08-26
6. Artea bankas - FY2025 management report and unaudited financial statements, p. 17, 2026-02-25
7. Artea bankas - FY2025 management report and unaudited financial statements, p. 4, 2026-02-25
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12. Artea bankas - Interim report 6M 2026 (reviewed), p. 16, 2026-08-26
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14. Artea bankas - FY2025 management report and unaudited financial statements, p. 5, 2026-02-25
15. Artea bankas - Interim report 6M 2026 (reviewed), p. 9, 2026-08-26
16. Artea bankas - Interim report 6M 2026 (reviewed), p. 6, 17, 2026-08-26
17. Artea bankas - FY2025 management report and unaudited financial statements, p. 4-5, 2026-02-25
18. Artea bankas - FY2025 management report and unaudited financial statements, p. 4, 7, 17, 2026-02-25
19. Artea bankas - Interim report 6M 2026 (reviewed), p. 9, 29, 2026-08-26
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21. Artea bankas - Annual report 2025 (LT), p. 6, 2026
22. Artea - Issued securities (bond list), 2026-10-22
23. Artea bankas - Annual report 2025 (LT), p. 8, 2026
24. Artea bankas - Interim report 6M 2026 (reviewed), p. 6-7, 22, 2026-08-26
25. Artea bankas - Interim report 6M 2026 (reviewed), p. 7-8, 2026-08-26
26. Artea - Sustainability / ESG risk information, 2026-10-22
27. Artea bankas - FY2025 management report and unaudited financial statements, p. 13, 2026-02-25
28. Artea bankas - Interim report 6M 2026 (reviewed), p. 14, 2026-08-26
29. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
30. Artea bankas - Interim report 6M 2026 (reviewed), p. 10, 2026-08-26

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